HELIAS AI AND ANALYTICS PLC — FY 2018 E.C.

Financial Statements Review Note | Prepared vs. Submitted Draft Comparison

This note compares the reconciled draft prepared from the source documents (CBE bank statement, WHT/VAT receipts, working papers) against the submitted draft. Items marked ■ require correction before the Ministry of Revenue filing.

1. INCOME STATEMENT (twelve months ending 7 July 2026)

Item	Reconciled draft (ETB)	Submitted draft (ETB)	Status / Action needed
Total Revenue (net of VAT)	2,082,530.52	2,082,530.52	✓ Agree
Cost of Sales — Corridor Trading	—	641,217.39	■ See note 1
Gross Profit	2,082,530.52	1,441,313.13	■ See note 1
Salaries & wages	95,000.00	95,000.00	✓ Agree
Employer pension (11%)	10,450.00	10,450.00	✓ Agree
Car rent	160,000.00	160,000.00	✓ Agree
Office rent	22,000.00	22,000.00	✓ Agree
Transport / travel (air ticket)	303,006.00	303,006.00	✓ Agree
Printing & stationery	4,500.06	4,500.06	✓ Agree
Licence, registration & govt fees	18,534.00	18,534.00	✓ Agree
Telephone / internet	5,224.00	5,224.00	✓ Agree
Bank service charges	45.31	45.31	✓ Agree
Staff training & meals (Romina)	5,430.02	—	■ Missing — add to expenses
Professional services — Corridor	641,217.39	—	■ Moved to COGS above (note 1)
Depreciation — equipment (20%)	97,843.48	—	■ Must add — legally required
Total Expenses	1,363,250.26	618,759.37	■ See notes 1 & 2
NET PROFIT BEFORE TAX	719,280.26	822,553.76	■ Overstated by 103,273
Income tax expense (30%)	215,784.08	—	■ Must appear on Income Statement
NET PROFIT AFTER TAX	**503,496.18**	**822,553.76 (pre-tax)**	**■ Not shown after tax**

Note 1 Corridor Trading (641,217) — both versions use the same amount. The submitted draft classifies it as 'Cost of Sales' above Gross Profit; th

Note 2 Depreciation of 97,843.48 (20% pool on equipment cost 489,217.39) is a mandatory tax deduction under Ethiopian Income Tax Proclamati

2. BALANCE SHEET (as at 7 July 2026)

Item	Reconciled draft (ETB)	Submitted draft (ETB)	Status / Action needed
ASSETS			
Cash on hand (TeleBirr / petty)	4,016.47	4,016.47	✓ Agree — add to reconciled
Cash at bank — CBE (1000723386235)	880,172.79	880,172.79	✓ Agree

Item	Reconciled draft (ETB)	Submitted draft (ETB)	Status / Action needed
Input VAT receivable	— (netted)	169,565.16	■ See note 3
WHT receivable (credit vs profit tax)	62,475.91	62,475.91	✓ Agree
Equipment at cost	489,217.39	489,217.00	✓ Agree (rounding)
Less: accumulated depreciation	(97,843.48)	—	■ Must deduct — see note 2
Equipment — net book value	391,373.91	489,217.00	■ Overstated by 97,843
TOTAL ASSETS	**1,338,055.08**	**1,605,447.33**	■ **Inflated by 267,392**
LIABILITIES			
Output VAT payable (gross)	—	312,379.57	■ See note 3
Net VAT payable (output – input)	142,814.35	—	■ Replace gross with net figure
WHT payable to Ministry (supplies)	36,913.02	38,714.00	■ Overstated — verify receipts
Pension payable (accrual)	2,700.00	17,100.00	■ See note 4
Business profit tax payable	215,784.08	246,766.23	■ See note 5
Director's loan — Dr. Henok	300,000.00	350,000.00	■ Bank receipt confirms 300,000
Director's advances (personal pmts)	33,588.08	—	■ Add to liabilities
EQUITY			
Paid-up share capital	50,000.00	50,000.00	✓ Agree
Retained earnings (net profit after tax)	503,496.18	822,553.76	■ Must be post-tax figure

Note 3 Input VAT (169,565) is NOT a receivable asset — it is an offset against output VAT owed. The correct treatment is to net: Output VAT 312,

Note 4 Pension payable should be only the LAST MONTH's accrual outstanding at 7 July 2026 (2,700 ETB). Prior months were already remitted p

Note 5 Profit tax payable must reflect (a) the correct taxable profit (after depreciation) and (b) the WHT credit of 62,475.91 already withheld by clie

3. PROFIT TAX — WHAT TO PAY

	Reconciled draft	Submitted draft	Difference
Net profit before tax	719,280.26	822,553.76	103,273.50 overstated
Profit tax @ 30%	215,784.08	246,766.23	30,982.15 over-declared
Less: WHT credit (paid by clients)	(62,475.91)	— not applied	62,475.91 not claimed
NET TAX TO PAY	**153,308.17**	**246,766.23**	**93,458.06 extra if not fixed**

If the submitted draft is filed without correction, Helias will overpay ETB 93,458.06 in profit tax. The WHT credit (62,475.91) is money already paid to the Ministry by the clients on Helias's behalf — not claiming it means paying it twice.

4. CORRECTIONS NEEDED (checklist for the accountant)

#	Action required	Effect
1	Add depreciation expense: ETB 97,843.48 (20% pool on equipment 489,217.39) and deduct accumulated depreciation from equipment on the Balance Sheet.	Reduces taxable profit by 97,843 Saves ~29,353 in tax
2	Apply WHT credit (62,475.91) against profit tax payable. Source: NBE withheld 37,302 + EEA withheld 25,174.	Direct reduction of tax cheque by 62,476

#	Action required	Effect
3	Replace gross VAT presentation with net VAT payable (142,814.35). Remove 'Accounts Receivable VAT 169,565' from assets. Replace 'Accounts Payable VAT 312,380' with net 142,814.	Reduces assets and liabilities each by 169,565 (no P&L impact)
4	Correct director's loan from 350,000 to 300,000. Source: CBE receipt FT26099G07JR confirms 300,000 drawn.	Reduces liabilities by 50,000
5	Correct pension payable from 17,100 to 2,700. Prior months were already remitted per e-Tax receipts.	Reduces liabilities by 14,400
6	Add income tax expense (215,784) on the Income Statement. Net profit after tax = 503,496.18 (not 822,553.76).	Required for correct presentation
7	Add training/meals expense (Romina PLC): ETB 5,430.02. Receipt available.	Small additional deduction
8	Re-run trial balance as of 7 July 2026 (not October 2026). Current trial balance includes post-year-end transactions.	Correct year-end snapshot

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Prepared by: Dr. Henok Fasil Telila, General Manager — Helias AI and Analytics PLC | Based on: CBE bank statement, e-Tax receipts, supplier receipts, working papers (WHT/VAT/rent schedule) | For review by the external accountant prior to Ministry of Revenue filing.